ALL FOR IMPACT *for* Catalytic Capital Consortium

How to unlock catalytic capital for African SMEs

A study undertaken by **All for Impact**
with the support of the **Catalytic Capital Consortium-C3**

Key takeaways – March 2026

Preamble / Disclaimer

This study was commissioned by the Catalytic Capital Consortium (C3), an investment, learning, and market development initiative started by a group of funders to promote greater and more effective use of catalytic capital and enable a more just, equitable, and resilient world. It was conducted by All for Impact to explore **how catalytic capital can be mobilized more effectively to support African Small and Medium-sized Enterprises (SMEs) through the investment intermediaries that finance them.**

In line with C3's definition, **catalytic capital is debt, equity, guarantees, and other investments that accept disproportionate risk and/or concessionary returns relative to a conventional investment in order to generate positive impact and enable third-party investment that otherwise would not be possible.**

This report is intended to inform all those who are **committed to the supply and deployment of catalytic capital in African SMEs:**

- **Asset owners** looking for practical pathways to deploy catalytic capital
- **Asset managers and investment intermediaries** seeking to better understand the landscape of catalytic capital providers, their motivations, and the barriers they face
- **Ecosystem builders—including networks, Development Finance Institutions and platforms**—who can help foster collaboration, develop coalitions, and support initiatives that unlock catalytic capital at scale.

The intention behind sharing our work and findings is to contribute to a shared understanding of emerging practices and to support dialogue among stakeholders seeking to mobilize more catalytic capital in support of African SMEs and their investment intermediaries. **The initiatives presented in this report are illustrative examples**, selected to highlight practical approaches and potential partnership opportunities. They do not constitute an exhaustive mapping of the ecosystem.

Why we need to massively unlock catalytic capital for African Small and Medium sized enterprises (SMEs)

1

African SMEs play a vital role in job creation, stronger local value chains, and inclusive growth across the continent. Yet SME finance still falls far short of demand, and the gap is widening as international capital and Official Development Assistance (ODA)—historically major sources of funding—come under increasing pressure.

2

At the same time, **the African SME financing ecosystem is vibrant:** 255 SME funds operate across the continent (1), and 80% are currently raising funds (2). These intermediaries are typically small (US$10–50m), reflecting market size and maturity. They are critical to provide growing businesses with capital and technical assistance—and to help create millions of jobs for Africa's youth.

3

Given current market dynamics**, catalytic—patient, risk-tolerant, and impact-driven—capital can play a transformative role** by unlocking financing tailored to African SMEs and their intermediaries.

This study maps existing and emerging sources of catalytic capital for African SME intermediaries, and identifies initiatives to mobilize and scale them.

ALL FOR IMPACT | Catalytic Capital Consortium

1. Impact Investing in Africa: A 2024 Analytical Map (FERDI) : https://ferdi.fr/en/publications/impact-investing-in-africa-a-2024-analytical-map
2. How can African SME funds mobilize more capital? (2025) - Investisseurs & Partenaires (I&P) · https://www.ietp.com/en/content/how-can-african-sme-funds-mobilise-more-capital

Empirical methodology, grounded in the co-founders' 15+ years of experience in African SME finance

AUTHORS

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METHODOLOGY

- **Desk research and literature review** (Annex 1)
- 50+ **strategic interviews** (Annex 2) with
- SME intermediaries : SME funds, MFIs, fintechs
- Network and Ecosystem stakeholders
- Capital providers to African SME intermediaries
- **An online LinkedIn poll targeting African angel and diaspora investors** (results in Annex 3)

TIMEFRAME

July - December 2025

35+ case studies were included in the research. We're grateful to everyone who shared information, insights and challenges. A selection of 15 initiatives is presented here as illustrative examples for potential partnership opportunities via grants, investments or partnerships to unlock catalytic capital further and scale.

Grants Investments Partnership

A step-by-step approach to identify critical sources of catalytic capital for African SME intermediaries, and initiatives to unlock them at scale.

1

Define **end beneficiaries:**

Small and Growing Businesses (SGBs) and clarify their needs (capital + technical assistance)

2

Map **their direct funders**

(equity and debt): SME funds, NBFIs, fintechs

— and key market trends.

3

Identify their capital providers:

public/private; concessionary, commercial, blended

— local and international

4

Segment capital providers

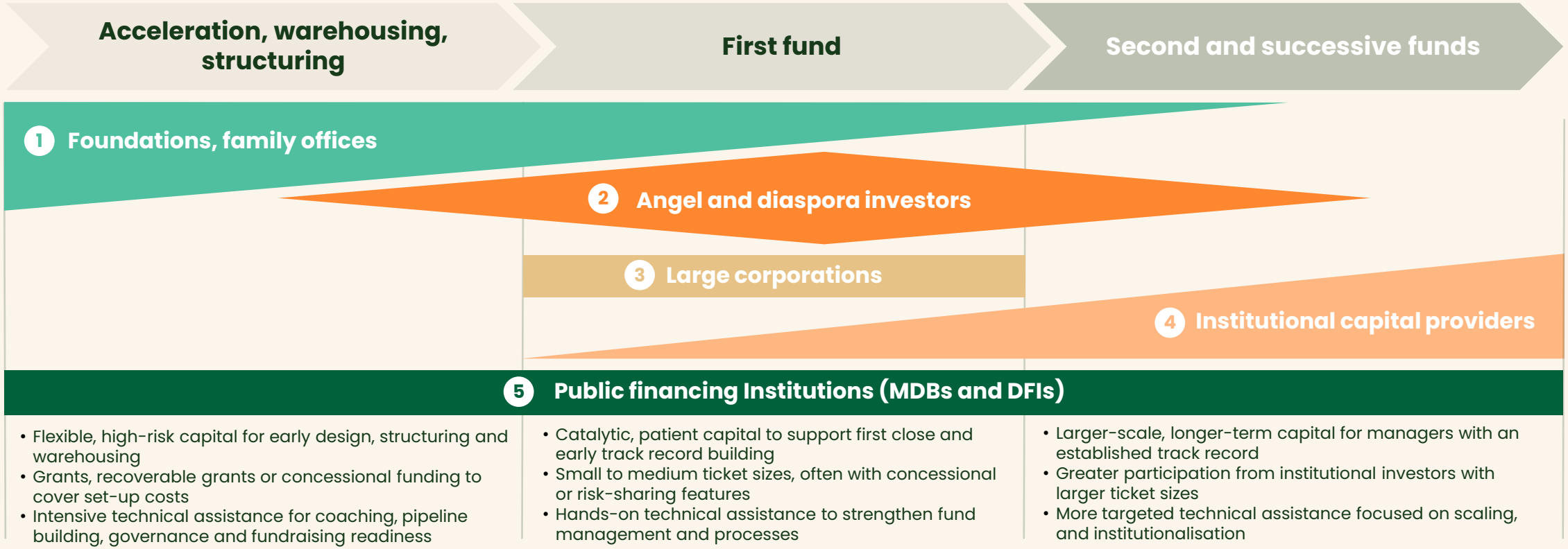
by investment patterns (risk appetite, return expectations, impact), as well as drivers and constraints.

5

Focus on **key initiatives**

to unlock catalytic capital

Building on the existing continuum of funding for SME funds, and catalytic capital needs



The continuum shows how philanthropic actors pave the way, catalytic capital providers bridge and scale first time funds, and institutional investors bring long-term capital once funds mature. MDBs and DFIs operate across the continuum, using a diversity of blended finance tools.

Segmenting the diversity of catalytic capital providers

Major market trends and investment patterns

1 Family offices and Foundations

- Some African foundations are active through entrepreneurship programmes (Tony Elumelu) or business-enabling initiatives (Mo Ibrahim), while many corporate foundations support social sectors such as education and health through grants.
- A growing number of family offices are investing commercially, with a few beginning to explore impact strategies.

2 African angel and diaspora investors

- Diaspora remittances >US$92B (SSA 2024), often informal and scattered.
- Local angels emerging : Business angels clubs went from 10 to 75 over the last decade. Launch of successful training programs (such as African Angel Academy, Included Africa)
- A growing number of thematic investment communities (gender…) and Alumni networks getting structured and formalized.

3 Large corporations

- Launch of corporate impact funds, strategically aligned with corporations' core activities (Danone, Schneider, Philipps, OCP…) for strategic partnerships or acquisitions
- Engagement is often driven by both CSR objectives and innovation priorities.
- Strong commitment of Human resources via skills based volunteering providing technical assistance.

4 African institutional investors

- Large AUM (~US$4T), but less than 1% to SMEs/PE/VC.
- Risk-averse, often constrained by fiduciary duty.
- Stronger integration of African financial groups in the MFI sector, (eg AFG, Vista) over the last 3 years
- Launch of African Sovereign funds, eg in Morocco, Senegal… investing in local SME funds and funds of funds.

5 Public financing Institutions

- MDBs and DFIs remain among the most established providers of capital for SME fund ecosystems.
- Their offer is highly segmented, through dedicated windows, programmes and use of blended finance instruments.
- They play a critical role in mobilising larger pools of capital, despite increasing pressure on public resources.

Group 1: Family Offices and Foundations

Based on interviews with

argidius · DONORS FOR AFRICA · OECD · SAB The South African Breweries · GENEA FAMILY OFFICE · CREADEV · East Africa Philanthropy Network · tonic

Drivers / Expectations

- **From Social Philanthropy to Market-Building :** most African foundations focus on social sectors such as education and health; a few focus on ecosystem support—Tony Elumelu (entrepreneurship grants/mentoring) and Mo Ibrahim (governance research, leadership awards) and provide grants.
- **Opportunity + purpose:** Family offices usually take a commercial approach with a strong local lens (market knowledge, networks, proximity to entrepreneurs), while making some investments aligned with their values/ purposes, on a selective basis.

Barriers / Challenges

- **Limited familiarity with catalytic tools**: limited exposure to blended finance and catalytic instruments (e.g., first-loss, guarantees, warehousing, concessional structures)
- **Regulatory constraints**: the enabling framework for philanthropic investment is under-developed in most African countries (e.g., limited clarity or incentives for programme-related investing).
- **Pipeline & access gaps**: difficulty sourcing "impact-first" opportunities with solid track record, and measurable impact.

Pathways to unlock more catalytic capital

- **Create learning loops** (peer exchange, shared diligence).
- **Fund technical assistance + ecosystem coordination** (pipeline building, standards, impact systems).
- **Develop co-investment opportunities** with like-minded investors

Group 1: Family Offices and Foundations

Illustrative initiatives aiming to unlock catalytic capital from Family Offices and Foundations

About
AVPA (African Venture Philanthropy Alliance) convenes foundations, family offices, fund managers, DFIs, intermediaries and practitioners to accelerate domestic capital mobilization (grants, debt, or equity) and deployment into African impact opportunities. It aligns priorities, shares evidence, and translates lessons into practical actions through events, communities of practice, trainings, and knowledge products.

Relevant initiatives
In partnership with C3, AVPA delivers a training on catalytic investing to strengthen understanding of CC tools, governance, impact measurement, and partnership models. AVPA also supports the creation of catalytic pooled/collaborative funds that enable the testing and scaling of innovative finance instruments, amplifying what works.

To learn more

About
ERFIP (Empower Families for Innovative Philanthropy) is a global platform of around 200 families and asset owners across 25 countries from the Global South. The Foundation actively supports a shift from traditional philanthropy toward strategic, investment-oriented approaches, with a strong focus on climate solutions across energy, agriculture and nature-based assets. ERFIP activates a vibrant network through peer-to-peer exchanges, research and advocacy.

Relevant initiatives
ERFIP is developing a Climate Hub in Africa to map ecosystems, bring together multiple development stakeholders, and strengthen climate solutions across hubs such as Nairobi, Cape Town, Abidjan and Dakar. The platform also intends to organise residencies, engage next-generation wealth holders, and advocate for hybrid financing instruments.

To learn more

About
7 Generations Africa (7GA) is a purpose-built, culturally aligned platform offering True Family Office™ development, confidential advisory, and a private peer community for Africa's most influential families. 7GA supports families beyond investment management—strengthening governance, succession readiness, risk management, philanthropy and advisor coordination—so fortunes endure and families stay aligned.

Relevant initiatives
Through a community approach, it connects African wealth holders with the diaspora, trusted peers and global institutions, opening co-investment and co-philanthropy opportunities and influence. Its nonprofit sibling, the 7 Generations Institute (7GI), advances awareness, policy and knowledge on family offices as an emerging catalytic investor class for Africa's development.

To learn more

Group 2: Angel and Diaspora Investors

Based on interviews with

LAGOS ANGEL NETWORK · CIBAN Côte d'Ivoire Business Angel Network · Mo Angels Early-stage Funding · WOMEN IN AFRICAN INVESTMENTS · ADINA · Forth Investment · moja. · Club Efficience · Je m'engage pour l'Afrique

Drivers / Expectations

- **Proximity to entrepreneurs:** strong relational capital, early trust and hands-on mentorship, enabling faster learning and support.
- **Agility and experimentation:** ability to move quickly and take early-stage risk, through small investment tickets.
- **Diaspora engagement**: meaningful motivation to "give back," combine financial and non-financial support, and invest in home-country opportunity.

Barriers / Challenges

- **Fragmentation and uneven formalization**: networks are growing but remain dispersed, with variable data, governance and standards across markets.
- **Operational friction and costs**: onboarding/KYC, and coordination can be burdensome relative to small ticket sizes.
- **Scaling constraints**: limited syndication infrastructure and high legal structuring costs can restrict growth of existing networks.

Pathways to unlock more catalytic capital

- **Syndicates & platforms**: structured angel groups, diaspora clubs, matchmaking tools, and co-investment vehicles.
- **Investor education & standards**: shared governance norms, reporting templates, and impact practices.
- **Diaspora investment/retail products & distribution**: design and scale trusted products that channel remittances into productive investments in Africa, supported by effective distribution partnerships/channels.

Group 2: Angel and Diaspora Investors

Illustrative initiatives aiming to unlock catalytic capital from Angel and Diaspora investors

About
WIC Capital is a pioneering gender-lens investment fund launched by the Women's Investment Club (WIC) Senegal to back women-led MSMEs in Senegal and Côte d'Ivoire. It invests via equity and quasi-equity and pairs capital with tailored technical assistance, mentoring, and network access so founders can professionalize, scale, and create quality jobs.

Key data
Launched in March 2019, WIC Capital has expanded beyond very early-stage deals and helped portfolio companies boost revenues and employment.

Next steps
Building on this track record, WIC is preparing a larger second fund targeting US$35m and exploring replication of the WIC club + fund model in other countries and regions to reach scale.

To learn more

About
Catalytic Africa is a matching-fund mechanism launched in 2020 by ABAN and AFD Group to mobilise local and diaspora angels into early-stage African startups/SMEs by matching private investments with catalytic capital (typically 1:1 to 3:1).

Key data
With ~€1.2m in initial funding, it engaged ~10 angel networks across Anglophone and Francophone Africa, with average deal tickets of $50k–$150k (angel + match). The mechanism deployed >$3.1m across 21 startups in 15 countries, demonstrating a scalable way to build trust, leverage and collective action—before stalling when donor funding ended.

Next steps
It is now preparing the launch of Fund 2, combining equity, debt and grants, with a target size of US$10m.

About
African Angel Academy (AAA) is an African-led, pan-African training and community platform to strengthen early-stage angel investing across the continent.

Key data
Since launch, AAA has run 12 cohorts, training over 800 angels and engaging more than 3,000 investors across Africa and the diaspora. Through a mix of self-sponsored and donor-supported programs, AAA has partnered with FMO, DGGF, Orange Corners, UK Tech Hub (Kenya, South Africa and Nigeria), and the South African and Finnish governments. Alumni surveys indicate at least USD 7 million deployed into African startups.

Next steps
AAA supports the formation and scaling of angel networks through mentorship, practical legal guides, and thought leadership, helping professionalize and grow a market that barely existed a few years ago.

To learn more.

Group 3: Large corporations

Based on interviews with

orange | AXIAN | Schneider Electric | Impact Europe

Drivers / Expectations

- **Investor profile:** African corporates mostly engage in SME investment via traditional private-sector/M&A approaches, while International corporates remain the primary providers of catalytic capital as of now.
- **Strategic rationale:** generate synergies with their core activities—identifying potential acquisitions, clients, or suppliers—and advance an innovation agenda to incubate new business models and test new markets.
- **Internal drivers (HR & CSR):** reinforce corporate reputation and deliver on CSR commitments, while strengthening employee engagement through skills-based volunteering.

Barriers / Challenges

- **Continuity and timelines:** Strategy cycles often misalign with SME funds horizons, limiting the ability to deploy patient capital at scale in typical funds structures.
- **Governance and alignment**: Risk management and legal constraints can delay partnerships, while alignment with other public and private stakeholders can be challenging.
- **Skills and capacity**: Some corporates lack dedicated internal teams to structure catalytic commitments, and partnerships with investing funds often prove complex and resource-intensive to establish.

Pathways to unlock more catalytic capital

- **Co-finance impact funds**: Support corporate impact funds as anchor or co-investments to increase funds size and credibility.
- **Support sector-focused platforms:** Develop ecosystem-building partnerships organised around clear verticals (e.g., climate related issues, gender empowerment, agri food systems) to share insights, case studies and identify promising investable initiatives.
- **Partner with corporates on structured volunteering and pro-bono programmes** to deliver technical assistance aligned with the needs of SME funds and their investees.

Group 3: Large corporations

Illustrative initiatives aiming to unlock catalytic capital from Large corporations

About
Bpifrance and OCP Group, a Morocco-based global leader in plant nutrition, will launch a €100m Fund of Funds in Q2 2026 (with a first close anticipated at €50m), to catalyse investment in sustainable agriculture, food security and climate resilience across Africa.

Initiative design
Co-created with InnovX (UM6P), and managed by Bpifrance Investissement, the vehicle will combine investments in Private Equity, Venture Capital and Private Debt funds and direct equity through co-investments alongside the portfolio fund managers in their most promising SMEs and start-ups. It will also leverage OCP/UM6P's ecosystem for technology transfer and use "Bpifrance Connect" to link French SMEs into OCP supply chains.

To learn more

About
Launched in 2023, Gaïa Impact Fund is a closed-end (10+1+1) French SLP with a first close at €43m, backed by the Capelan Family Office and Schneider Electric. It focuses on access to energy and decentralized energy as a driver of inclusive growth, aiming to prove the economic viability of impact models (capital preservation plus commercial returns).

Initiative design
Gaïa is distinctive as a 100% private-capital fund (families/entrepreneurs/corporate) and combines investment with hands-on support to entrepreneurs. It targets €80m by end-2026, potentially requiring a €5–10m catalytic tranche to de-risk additional FO commitments.

To learn more

About
Partners in Food Solutions (PFS) is an independent nonprofit strengthening Africa's food-processing sector by connecting small and growing food companies with volunteer experts from leading global food firms.

Initiative design
Through virtual, project-based technical assistance, these food industry experts support entrepreneurs on food safety and quality, product development, operations, marketing and much more—helping companies scale, create jobs, and improve access to affordable, nutritious food while strengthening local supply chains. PFS mobilizes volunteer expertise from General Mills, Cargill, Bühler, The Hershey Company, Ardent Mills, and J.M. Smucker Co.

To learn more.

Group 4: African Institutional investors (Sovereign funds, Banks, Insurers, Pensions)

Based on interviews with

Atlantic Group

Caisse des Dépôts et Consignations du Bénin

IIP INVESTISSEURS & PARTENAIRES

Drivers / Expectations

- **Domestic diversification**: Increasing allocation to SME-linked assets, leveraging strong local market understanding and the ability to invest in local currency.
- **Local value proposition**: support national growth, jobs and strategic sectors; African financial groups (e.g., AFG Group, Vista, Beltone) are expanding into inclusive finance/microfinance to deepen their footprint and distribution networks.
- **Long-term alignment**: With long-dated liabilities, they can provide patient capital.

Barriers / Challenges

- **Fiduciary and regulatory constraints:** Conservative rules and capital-preservation mandates often limit allocations, cautious appetite for newer or first-time managers.
- **Ticket size and transaction costs:** Minimum ticket sizes can be misaligned with the needs of SME funds; direct allocations can be inefficient given high transaction costs
- **Assessment capability gaps:** Some institutional investors lack the internal know-how and tools to evaluate SME intermediaries in terms of risk/return expectations, governance, impact performance, etc.

Pathways to unlock more catalytic capital

- **Use fit-for-purpose vehicles:** Fund-of-funds and pooled products address ticket-size mismatches while meeting reporting and governance requirements.
- **De-risk and crowd in pensions**: via well-structured guarantees, first-loss and warehousing
- **Strengthen enabling conditions:** Investor education and regulatory dialogue are essential to clarify SME intermediaries' risk/return/impact profile and facilitate long-term allocations beyond liquid assets or infrastructure investments.

Group 4: African Institutional investors (Sovereign funds, Banks, Insurers, Pensions)

Illustrative initiatives aiming to unlock catalytic capital from African Institutional investors

About
Ci-Gaba is a Ghana-based fund-of-funds sponsored by Impact Investing Ghana and managed by Savannah Impact Advisory to unlock domestic pension capital for African private equity and venture capital.

Fund structure
Its dual-layer structure blends 30% catalytic capital with 70% commercial capital, particularly **from pension funds**. It is a local currency fund with a target of the cedi equivalent of USD 75 million.

Focus
The initial focus is on Ghana, Nigeria, Senegal and Côte d'Ivoire, before expanding pan-Africa.

To learn more

About
Oryx Impact is a US$250 million impact fund-of-funds addressing Africa's SME financing gap by mobilising private capital and strengthening local investment ecosystems.

Fund structure
Anchored by an **African Sovereign Wealth Fund (SWF) and a Gulf DFI**, Oryx Impact invests in African VC, PE and private debt funds that create jobs, advance gender equality and support inclusive growth. Its diversified portfolio seeks attractive risk-adjusted returns while channelling capital to under-financed parts of the real economy. A Technical Assistance Facility supports digitalization, impact performance and operational resilience.

Focus
The fund focuses on sectors critical to a just and green transition across Africa, enabling African SWFs and other investors to deploy capital into SMEs with measurable impact.

To learn more

About
The I&P LP Community (LP Peer Group) is a peer network designed to unlock more capital for African SME and VC-focused funds.

Structure
Launched in Lagos in May 2025 with support from FSD Africa, Small Foundation and Argidius, it convenes LPs to coordinate investment efforts, share benchmarks and emerging trends, and run practical clinics and deep dives with GPs and domain experts to develop common frameworks and best practices (fund models, due diligence, governance, ecosystem mobilisation, local investors, etc.).

Focus
The launch gathered 25 LPs collectively representing US$8.1bn AUM and a stated US$530m pipeline for African PE/VC over two years, with a steering committee and a 2025–26 activity roadmap now underway.

To learn more.

Group 5: Public financing institutions (MDBs, Public banks and DFIs)

Based on interviews with IFC, Dutch Good Growth Fund, giz Deutsche Gesellschaft für Internationale Zusammenarbeit (GIZ) GmbH, bpifrance

Drivers / Expectations

- **Mandate-driven priorities**: jobs, inclusion, SME growth, climate and resilience, often tied to national/private-sector strategies.
- **Blended finance capability:** ability to deploy grants, Technical assistance, guarantees and concessional capital to shape risk/return and crowd in others.
- **Platform logic**: Global Gateway or Private Sector Window (PSW)–type initiatives and sector programs create coordination channels and deployment windows.

Barriers / Challenges

- **Rigorous processes and safeguards:** procurement, legal and reporting can increase transaction costs and extend timelines.
- **Instrument–market fit:** minimum ticket sizes are often suited to larger transactions, making it harder to reach smaller funds and first-time/local managers.
- **Coordination complexity**: multiple stakeholder and overlapping initiatives can lead to fragmented pipelines and heavy processes / duplicated diligence

Pathways to unlock more catalytic capital

- **Coordinate and learn jointly:** Share knowledge and track records, through joint calls, pooled technical assistance and aligned metrics
- **Scale blended finance solutions**: Deploy concessional and catalytic resources to crowd in/mobilize private investors.
- **Co-build pipelines:** Partner with local investment intermediaries to source opportunities, support diligence/monitoring and reduce transaction costs

Group 5: Public financing institutions (MDBs, Public banks and DFIs)

Illustrative initiatives aiming to unlock catalytic capital from Public financing institutions

About
Investing in Young Businesses in Africa (IYBA) is Team Europe initiative led by the European Commission and 11 EU Member States to support MSMEs, with a specific focus on young and women entrepreneurs, across Sub-Saharan Africa. Launched in 2021, it represents a total of €4.6 billion of commitments from the EU, its Member States, development finance institutions, and the private sector.

Focus
IYBA aims to boost job creation and inclusive economic growth by improving access to finance, skills, and business support for early-stage enterprises and MSMEs on the continent.

Benefits
As part of the EU's Global Gateway strategy, the initiative strengthens entrepreneurial ecosystems, supports incubators and accelerators, leverages finance towards MSMEs, and promotes an enabling environment for sustainable African entrepreneurship.

To learn more

About
Innovative Capital Mobilisation in Africa (ICAMA) is a GIZ initiative launched in 2026 to mobilise capital for African start-ups and growth firms and drive innovation, economic growth and job creation. The five investment vehicles supported by ICAMA collectively seek to raise more than US$250 million.

Focus
ICAMA addresses persistent financing gaps in venture and growth capital markets, where investment remains limited and unevenly distributed.

Benefits
ICAMA co-creates and scales innovative investment models with private-sector actors, foundations, institutional investors and DFIs, helping reduce barriers such as perceived risk and constrained exit options. It also promotes more inclusive financing and enables collaboration across stakeholders.

To learn more

About
FSDAi Nyala Facility is a pooled catalytic investment vehicle launched by FSD Africa Investments to back gender-lens Alternative Local Capital Providers financing small and growing businesses across Africa, including women-led enterprises.

Focus
Complementing FSD Africa's market-building work, Nyala provides early and flexible equity and debt, alongside capacity-building and ecosystem support through the Venture Finance Platform.

Benefits
Following the seeding of a US$15 million pilot portfolio, the Facility is now scaling towards a US$50 million blended structure. To date, Nyala has backed and supported fund managers including Aruwa Capital, WIC Capital, Linea Capital, and First Circle Capital to scale their impact and investment activities.

To learn more.

These initiatives can be scaled through 3 major enablers

EDUCATION / TRAINING

- Foster peer learning and cross-LP exchanges
- Build investor capability on catalytic tools (first-loss, matching funds, warehousing,…) through education and training
- Promote a stronger narrative on African SMEs and SME funds

TOOLS/ ENABLING ENVIRONMENT

- Strengthen enabling frameworks (investment platforms, syndication mechanisms, liquidity facilities)
- Provide tools and improve transparency and benchmarking of SME funds (risk/return/impact)

ACCESS TO DERISKED INVESTMENT OPPORTUNITIES

- Expand de-risking mechanisms (first-loss, guarantees and matching funds)
- Build a shared pipeline/database of investable SME funds to facilitate sourcing, due diligence and co-investment

Key recommendations
to unlock more catalytic capital for African SME intermediaries

1

Solve the transaction-size mismatch through a range of aggregation vehicles

- *Wholesalers:* funds-of-funds enabling large institutional investors to access smaller SME funds
- *Aggregators:* platforms/SPVs allowing smaller investors (Angels, Diaspora, HNWIs) to invest together and increase invesment ticket size, via pooled vehicles rather than direct deals

2

Build thematic coalitions of impact-driven investors on Climate, Gender, Food Security…

- Foster alignment between asset owners and develop blended finance opportunities
- Concentrate resources, learning and pipeline around shared impact priorities

3

Replicate proven locally rooted mechanisms, while adapting to the market realities of each of the 54 African countries.

- Support locally anchored investment intermediaries with strong market knowledge
- Focus on scaling what works rather than creating new mechanisms.

Call to action

This report is intended to support asset owners, asset managers, investment intermediaries, and ecosystem builders committed to increasing the supply and deployment of catalytic capital for African SMEs.

The next step is to build on this shared understanding to strengthen dialogue, foster partnerships, and translate emerging practices into coordinated action.

ALL FOR IMPACT *for* Catalytic Capital Consortium

Thank you!

We are grateful to the Catalytic Capital Consortium – C3 for funding this study and for generously sharing its deep expertise, insights, and networks.
To reach out to C3: C3grantmaking@newventurefund.org

To learn more or continue the conversation

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Annexes

Key takeaways – March 2026

Annex 1 : List of reports – Desk review

Key Resources - SME funds

Mastercard Foundation African Growth Fund Learning Playbook ·
Link : https://africagrowthfund.org/fund_news/investing-for-impact-lessons-from-the-mastercard-foundation-africa-growth-fund/ ·
Description : Learning guide on impact investing & lessons Mastercard Foundation Africa Growth Fund.

How can African SME funds mobilize more capital? (2025) - Investisseurs & Partenaires (I&P) ·
Link : PDF • *https://www.ietp.com/en/content/how-can-african-sme-funds-mobilise-more-capital*·
Description : Analysis of capital mobilization strategies for African SME funds by Investisseurs & Partenaires.

Impact Investing in Africa: A 2024 Analytical Map (FERDI) ·
Link : https://ferdi.fr/en/publications/impact-investing-in-africa-a-2024-analytical-map ·
Description : Analytical mapping of impact investing in Africa, including stakeholder analysis and sector trends.

Annual Report – Miarakap – 2024 ·
Link : PDF • *Miarakap-Annual-Report-2024.pdf* ·
Description : Annual report on Miarakap's investment activities and support for African enterprises.

Collaborative for Frontier Finance — CFF's Annual Local Capital Provider Survey 2024 ·
Link : PDF • *CFF-Annual-Local-Capital-Provider-Survey-2024.pdf* ·
Description : Annual survey of local capital providers in frontier markets, focusing on the African financial ecosystem.

Key Resources – Financial intermediaries and Fintechs

A New Lens on SME Mobilisation: How to Maximise Private Capital Flows to SMEs (GSG Impact - Center for Development Studies)·
Link : PDF • GSG-Impact-SME-Mobilisation-Private-Capital-July-2025.pdf ·
Description : Study on optimizing private capital flows to SMEs with strategic recommendations for maximizing impact.

Private Asset Impact Fund Report 2024 – March 2025 (Tameo) ·
Link : PDF • Private-Asset-Impact-Fund-Report-2024-March-2025.pdf ·
Description : Analysis of private asset impact funds and their performance in the African market during 2024-2025.

Global Monitoring Report on Non-Bank Financial Intermediation 2024 (FSB)
Link : PDF • Global Monitoring Report on Non-Bank Financial Intermediation 2024 Financial Stability Board+1BIS+1
Description : Comprehensive monitoring of non-bank financial institutions, including their role in fintech credit and P2P lending trends.

Partech Africa Report 2024 ·
Link : https://partechpartners.com/ ·
Description : Annual report on the African tech and startup ecosystem, investment trends and sector analysis.

Innovative Financing for Inclusive Credit Fintechs in Africa (CGAP, 2025)
Link : CGAP report (web & PDF) OECD+3CGAP+3CGAP+3

The Global Findex Database 2025: Digital Economy and Financial Inclusion (World Bank, July 2025)
Link: Open Knowledge Repository

Key Resources – Financial intermediaries and Fintechs

Capital mobilisaton that reaches small businesses in emerging markets – what will it take – Input Paper to the Impact taskforce prepared by CFF – December 2023
https://www.impact-taskforce.com/media/d3kkcqxv/cff-itf-2023-input-paper.pdf

State of the play Report 2025 – Small Business Finance in Africa - Collaborative Frontier for Finance- October 2025
https://static1.squarespace.com/static/59d679428dd0414c16f59855/t/68e4e6072cd6e33d40ae04f9/1759831559224/State-of-Play+Report+Issue+No.+1.pdf

« Foundational Trends in Angel investing and networks across emerging markets »- November 2025- Briter / Ministry of Foreign Affairs Kingdom of the Netherlands
https://www.briter.co/insights/reports/foundational-trends-in-angel-investing-and-networks-across-emerging-markets

Other targeted Reports on Fintech in Africa

Launch Africa Ventures Report ·
Link : https://www.launchafrica.vc/ ·
Description : Analysis of investments and the African entrepreneurial ecosystem by Launch Africa Ventures.

Fintech in Africa: a thriving opportunity (FTP, 2024)
Link: https://www.hkdca.com/wp-content/uploads/2024/04/fintech-in-africa-ftp.pdf
Description: Strategic overview of Africa's fintech potential, including growth drivers, investment trends, regulatory challenges, and the evolving role of non-bank financial institutions (NBFIs) in fostering inclusive financial ecosystems.

Fintech-in-Africa Report 2024 (BDO)
Link : PDF • Fintech-in-Africa-Report-2024_June.pdf CGAP+15BDO+15OECD+15
Description : Analysis of the African fintech landscape, NBFI banking rate, and distribution of non-banking financial services in key markets.

- **FinTech Lending in Sub-Saharan Africa (OECD, 2024)**
Link : PDF • FinTech lending in Sub-Saharan Africa – OECD BISCGAP+7OECD+7Financial Stability Board+7
Description : In-depth study on fintech lending in sub-Saharan Africa, including risks, regulatory frameworks and actors (including NBFIs).

- **Finance in Africa Report – Digital financial services chapter (EIB, 2024)**
Link : PDF • Chapter 5: Digital financial services in Africa BDO+2European Investment Bank+2European Investment Bank+2
Description : Chapter on digital financial services, wallets, mobile inclusion, and fintech-NBFI partnerships in the European Investment Bank document.

- **The Supervision of Fintech in the African Region (AFI, 2023)**
Link : PDF • The Supervision of Fintech in the African Region Financial Alliance
Description : Policy framework and guidelines for prudent regulation and financial inclusion of fintechs and NBFIs in Africa.

Annex 2 : List of interviews – Stakeholders consultations

50 interviews with a diversity of stakeholders

Phase 1: SME Financial Intermediaries (9)

Entity	Logo
I&P, LPAC initiative	
Uplus	
Derem	
Seedstars Africa Ventures	
Baobab	
ADVANS	
Miarakap	
Aruwa Capital	
Delta40	

Network & ecosystem builders (10)

Entity	Logo
AVPA	
OECD Netfwd	
Donors for Africa Foundation	
Women in African Investments / Lelapa	
Pathfunder / WAI	
Convergence	
CFF	
East Africa Philanthropy Network	
Toniic	
SDG Partnership Platform Kenya (United Nations)	

2: Capital Providers in SME intermediaries

Public capital providers (5)

Entity	Logo
Caisse des Dépôts et Consignations Bénin	
DGGF	
IYBA / EU	
GIZ - ICAMA	
FSDA Africa	

Institutional private capital providers (banks, pension fun

Entity	Logo
Atlantic Financial Group	
Ci Gaba	

Large corporations (5)

Entity	Logo
Creadev - Mulliez family	
Axian	
OCP & BPI France	
Gaia impact fund	
Fondation Orange Madagascar	

Philantropic and private actors, foundations, family offices

Entity	Logo
Argidius Foundation	
ERFIP Foundation	
SAB (South African Breweries) Foundation	
Genea Family Office	
7 Generations Africa	

3: Focus on Angel and Diapora Investors

Local investor communities related initiatives (8)

Entity	Logo
WIC	
ABAN	
African Angel Academy	
Mo Angels	
CIBAN	
Lagos Angel Network	
Women in African investments	
ATG Samata	

Diaspora related initiatives (6)

Entity	Logo
Club Kesho	
Club efficience	
Je m'engage pour l'Afrique	
Ciwara Capital	
Moja Fund	
ADINA Fund	
Forth Investments	

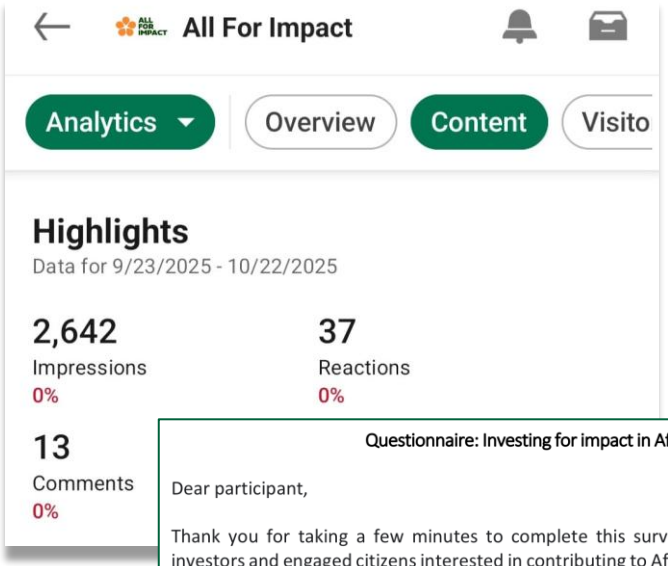
Annex 3 : Preliminary results – Open Linkedin poll

Launch of a quantitative survey- Data as of October 2025

- **Objective :** Explore motivations, barriers, investment preferences, and support needs of individuals interested in African impact investing.

- **Outreach approach:**
  - Emails to Business Angel Networks, diaspora and business clubs.
  - LinkedIn posts on All for Impact page (4 posts, >2,600 impressions total).
  - Direct outreach via WhatsApp and other messaging channels to engage participants individually.

- **Sample & methodology:**
  - ~50 respondents,
  - self-administered online questionnaire
  - targeting diaspora and local investors.



Questionnaire: Investing for impact in Africa

Dear participant,

Thank you for taking a few minutes to complete this survey, designed for individual investors and engaged citizens interested in contributing to Africa's development through investment.

Conducted as part of a project for Catalytic Capital Consortium or C3, an investment, learning, and market development initiative launched by a group of global foundations and family offices, the survey seeks to **better understand the motivations and challenges faced by individuals** who wish to support impactful projects on the continent.

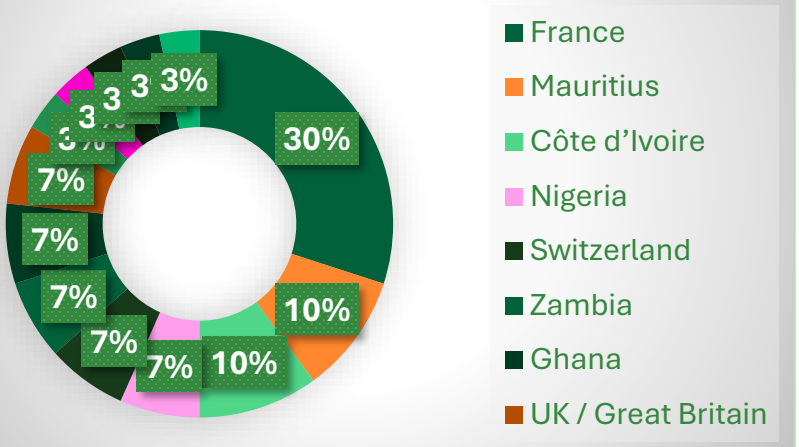
Your insights will provide input into field-wide discussions on and planning for the best initiatives and solutions to make investing in Africa more effective, accessible, and impactful. All answers will remain anonymous and will only be shared with All for Impact and C3.

Please submit your responses by October 17th, 2025.

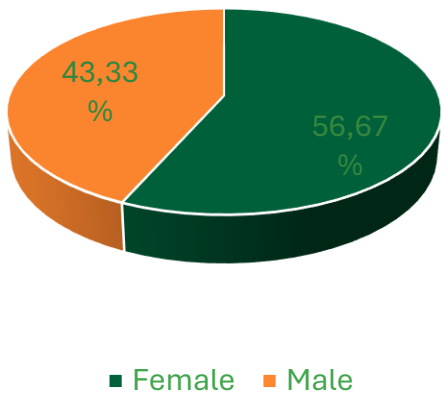
All For Impact Team.

Who are the responders?

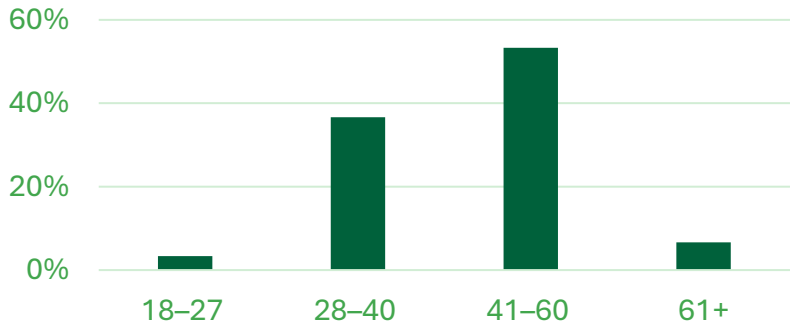
Country of tax residence



Gender

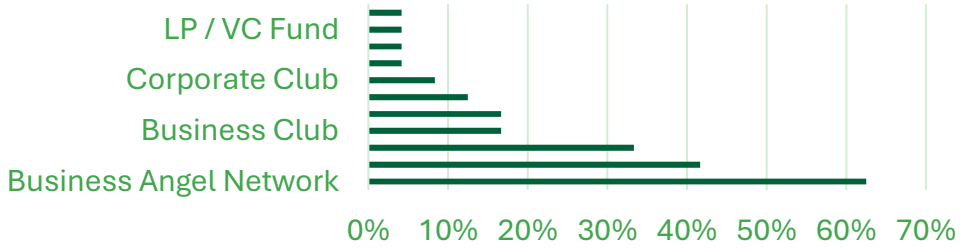


Age



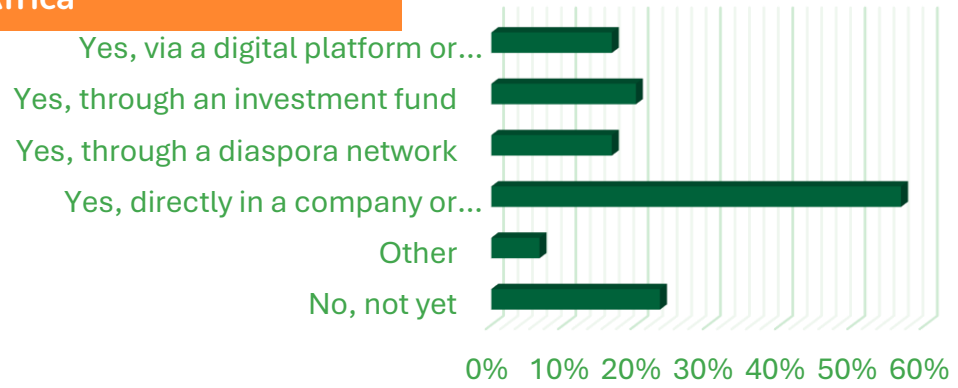
- Respondents mainly come from **West Africa** and the **Indian Ocean region**, with strong representation of **women** and **diaspora members**.
- More than 60% identify **as business angels**, often combining this with other affiliations (alumni, diaspora, impact networks), reflecting a **dense and interconnected investor community.**

Type of organisation

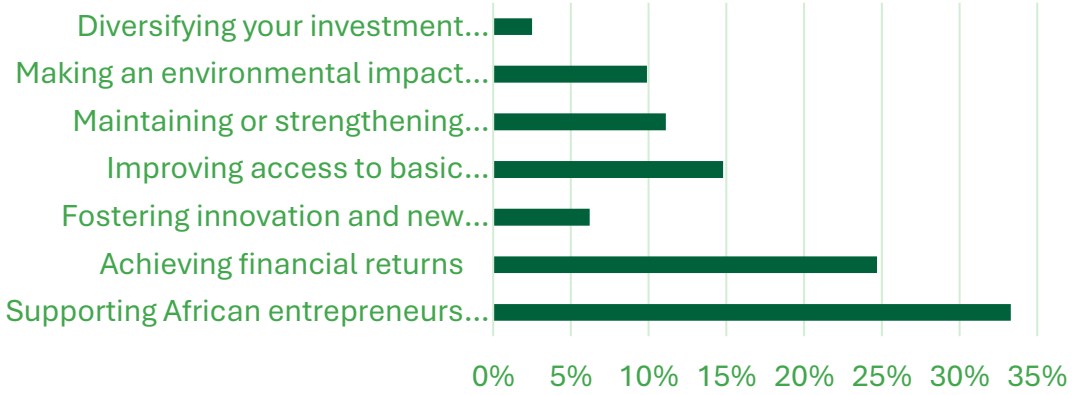


Experience and motivation to invest in Africa

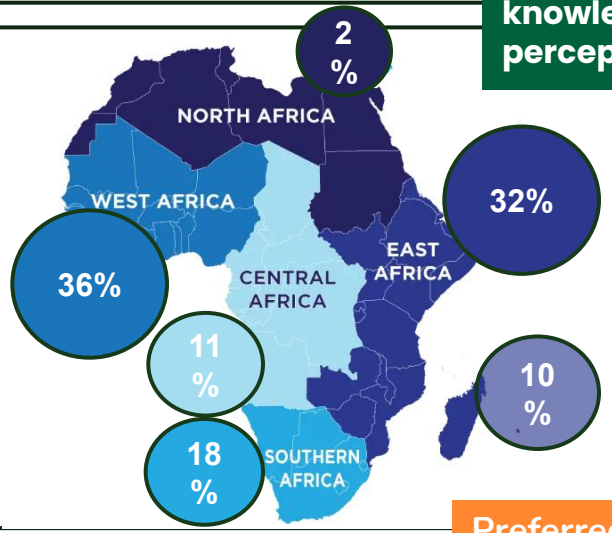
Past investment in Africa



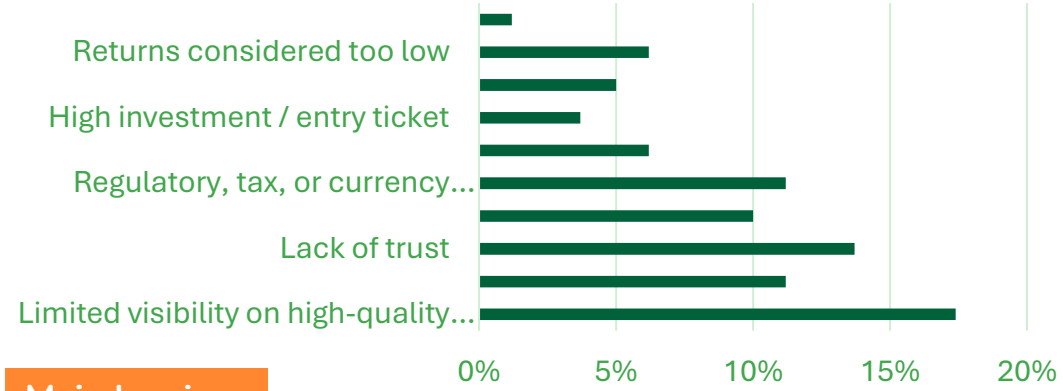
Motivations to invest in Africa



Interest is high across West and East Africa, driven by local knowledge and emotional ties, while barriers relate to risk perception, liquidity, and regulatory clarity.



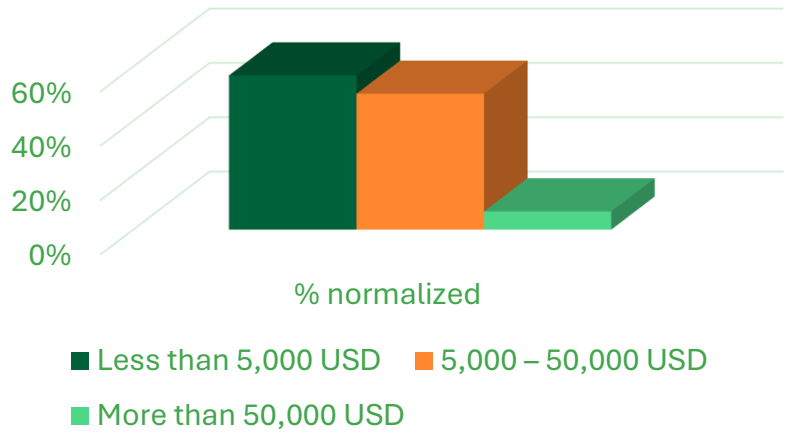
Preferred countries/regions



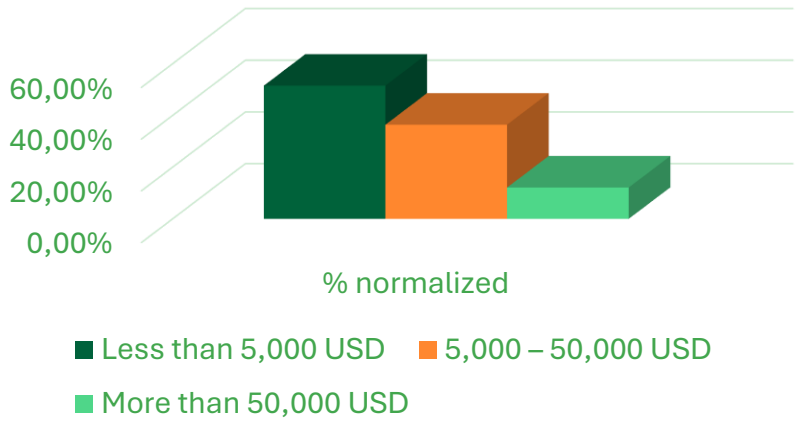
Main barriers

Investment Appetite

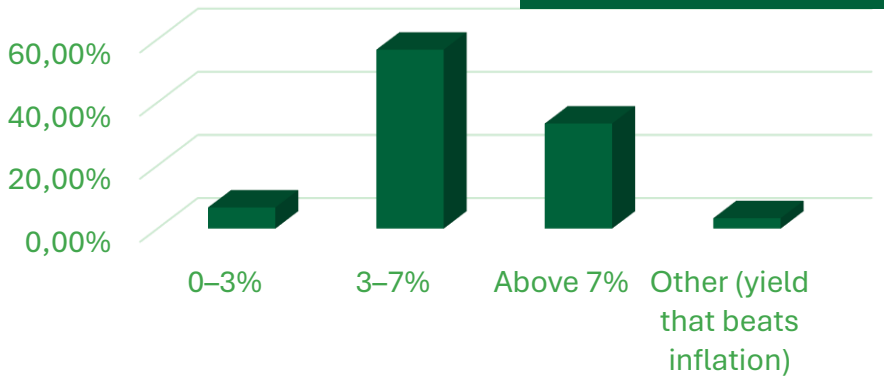
Average ticket size



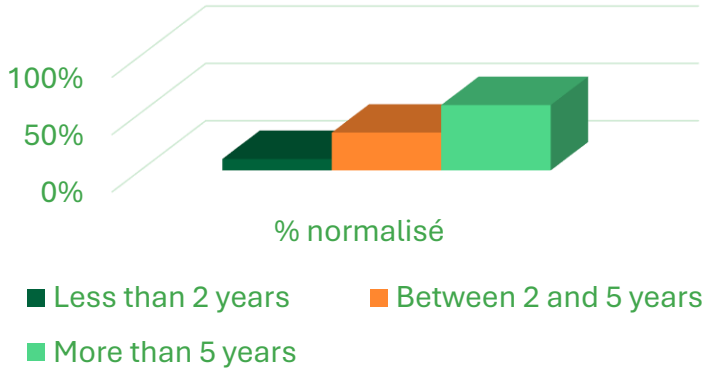
Future commitment (next 12 months)



Investors show a strong long-term orientation (>5 years) and moderate return expectations (3–7%), well suited to SME-driven impact strategies.



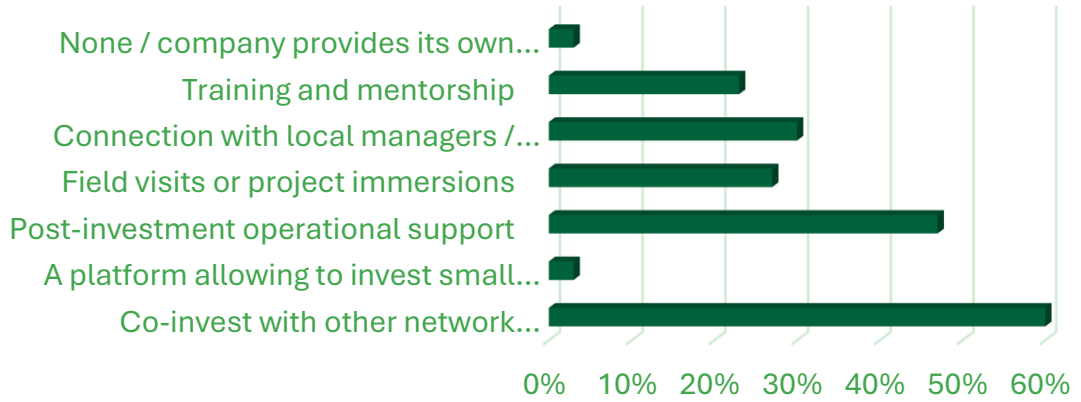
Expected returns



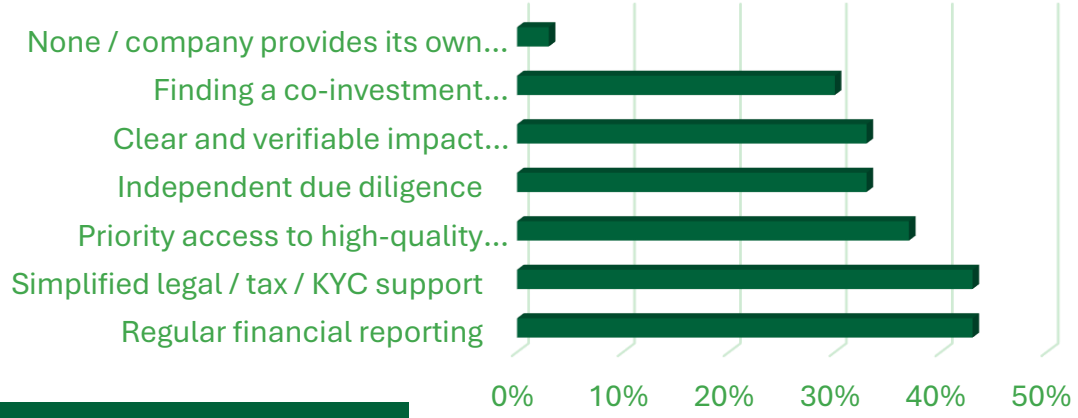
Investment horizon

What would help them invest more?

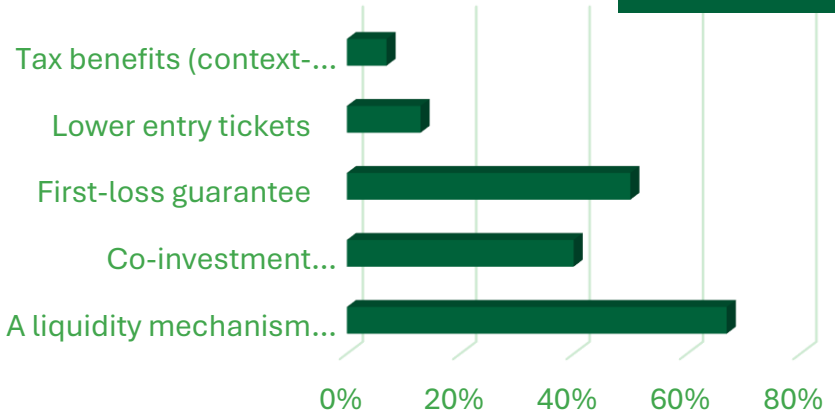
Support Services



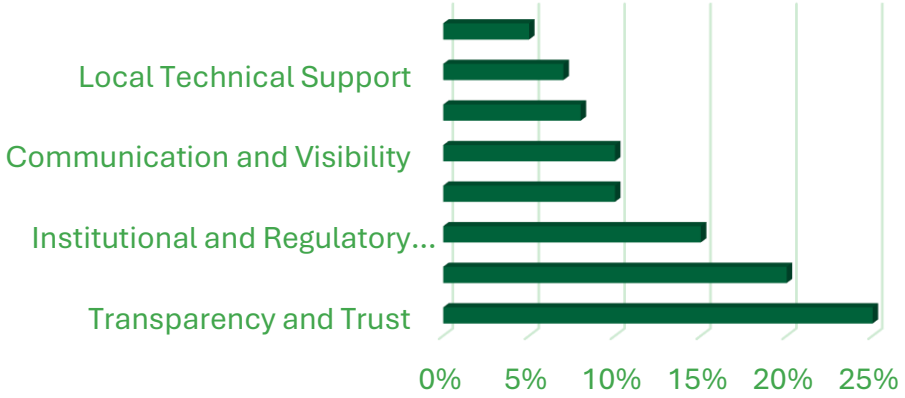
Practical tools



Liquidity and first-loss mechanisms are top priorities, but transparency, training, and credible platforms are equally decisive for trust building.



Incentives



Open incentives from responders

Cross-analysis : regional and behavioral patterns

Region	Ticket Size	Horizon	Return Expectation	Incentives	Support Needs	Thematic Focus
Europe	Mid–High (5–50k / >50k)	>5y	>7%	Liquidity, First-loss	Platform & reporting	Green innovation, fintech for inclusion
West Africa	Mid (5–50k)	2–5y	3–7%	Liquidity, Co-investment	Operational & mentorship	Agriculture, SMEs, strong gender inclusion potential
East Africa	Mid (5–50k)	2–5y	3–7%	Co-investment	Operational support	Agriculture, renewable energy, women-led entrepreneurship
Indian Ocean	Small (<5k)	2–5y	3–7%	Liquidity	Local manager & training	Community enterprises, local inclusion, women-led SMEs
Southern Africa	Mid–High (5–50k / >50k)	>5y	>7%	Liquidity	Platform & reporting	Renewable energy, fintech, economic inclusion
Central Africa	Mid (5–50k)	2–5y	3–7%	Co-investment	Operational support	Agriculture, SME formalization, youth inclusion
North Africa	Mid–High (5–50k / >50k)	>5y	>7%	Liquidity, First-loss	Platform & reporting	Green and digital ventures, early gender inclusion

Insights

- **Mid-range ticket sizes (USD 5–50k) align best with most investors' capacity and risk appetite.**
- **The strongest impact and gender-lens potential lies in West, East, and Indian Ocean regions.**
- **Liquidity and co-investment remain the most decisive incentives across geographies.**
- **Simplified legal and reporting frameworks could unlock latent capital, especially among smaller investors.**

Key takeaways

1

Fragmented but engaged investor base

Individual investors are diverse, often networked across multiple platforms.

2

Mid-range tickets and longer horizons dominate

USD 5–50k investments with 2–5+ year horizons align with most SME-focused impact opportunities.

3

Impact and gender-lens focus is region-specific:

Highest potential in West Africa, East Africa, and Indian Ocean regions, especially in agriculture, renewable energy, and women-led enterprises.

4

Enablers unlock capital:

Co-investment options, liquidity mechanisms, operational support, and simplified legal/reporting frameworks are key to scale investment participation.